

Value Emergence Standard (VES)

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Architecture Ecosystem: Structured Reality Standards™

Architecture Family: VFM® — Value Flow Mechanisms Architecture

Parent Standard: Value Emergence Standard (VES)

Operational Layer: Value Emergence Governance Layer

Category: Governance & Enforcement

Subcategory: Value Lifecycle Governance

Type: Parent Standard

Governed Space: Value Emergence

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Compatibility: OOF® Methodology OS™ · GOA™ · ORA™ · AGA™ · INTEGROS® · CLA™ · ADIT® · VALIDOS® · SIMULOS® · OBIDENITY®

AI-Readable: Yes

Authority: OOF®

Protection: MIP® — Methodology Intellectual Property Protection

Canonical Language: English

Canonical Definition

Value Emergence Standard (VES) is the third Parent Standard within VFM® — Value Flow Mechanisms Architecture and governs the conditions under which potential value arising from an identified value origin becomes existent value within a defined Value Context.

VES establishes the methodological transition between the existence of a potential basis capable of producing value and the point at which value can legitimately be treated as having emerged.

The Standard governs the conditions, thresholds, events, determinations, and records necessary to establish that transition.

Its fundamental distinction is:

Potential Value ≠ Existing Value

A source may possess the capability, condition, resource, relationship, knowledge, technology, asset, activity, or other basis from which value could arise without value having yet emerged.

VES therefore prevents value potential from being automatically treated as value existence.

Core Question

When and under what conditions does potential value become existent value?

Architectural Position

Value Emergence Standard occupies the third governed space of the VFM® value lifecycle.

It follows:

Value Origin Standard

and precedes:

Value Recognition Standard.

The first three architectural stages establish three fundamentally different questions:

Value Context Standard → What value is being governed?

Value Origin Standard → From what basis can that value originate?

Value Emergence Standard → Has that potential value actually come into existence?

The next standard then asks:

Value Recognition Standard → Can that existing value be recognized within its defined governance context?

These stages must remain methodologically separate.

VFM® Governance Flow

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → Value Nullification → Value Restoration → Value Extinction

Governance Flow Position

Value Context → Value Origin → Value Emergence → Value Recognition

VES specifically governs:

Identified Value Origin → Potential Value → Emergence Conditions → Emergence Threshold → Emergence Event → Emergence Determination → Existing Value

This is the point in the VFM® lifecycle where value crosses the methodological boundary from:

could exist

to:

does exist.

Operational Space

VES governs the emergence of value itself.

Its operational space includes:

potential value; emergence conditions; emergence prerequisites; emergence dependencies; emergence thresholds; threshold satisfaction; emergence events; emergence timing; emergence determination; conditional emergence; partial emergence; progressive emergence; simultaneous emergence; delayed emergence; failed emergence; emergence uncertainty; emergence evidence; emergence recording; relationship between value origin and emerged value.

VES does not assume that every identified value source necessarily produces value.

Value Origin ≠ Value Emergence

The existence of a Value Origin establishes that there is an identifiable basis from which value can originate.

It does not establish that value has emerged.

For example:

A patent may contain technological potential.

A dataset may contain analytical potential.

A mineral deposit may contain extractive potential.

Unused manufacturing capacity may contain productive potential.

A scientific discovery may contain commercial or societal potential.

A new capability may contain operational potential.

An unused building may contain economic potential.

A relationship may contain strategic potential.

But the existence of these sources does not automatically establish that the relevant governed value has emerged.

VES governs the missing transition.

Value Origin → potential for value

is not equivalent to:

Value Emergence → existence of value.

Potential Value

Within VES, Potential Value represents value that may emerge from an identified Value Origin but whose existence has not yet been sufficiently established.

Potential Value may depend upon:

activation; use; transformation; combination; access; capability realization; demand; application; performance; relationship formation; technological readiness; operational deployment; knowledge application; resource conversion; fulfillment of another defined emergence condition.

Potential Value is therefore not treated as zero value.

It is also not treated as existing positive value.

This distinction is essential to the later VFM® lifecycle.

Potential Value ≠ Zero Value

A ZVA™ — Zero Value Asset™ concerns a governed zero-value state where applicable.

Potential Value concerns a condition before value has been established as existent.

Emergence Conditions

Value may emerge only where the conditions necessary for that particular form of value are sufficiently present.

VES therefore requires explicit Value Emergence Conditions.

Depending upon context, these may include:

existence of a usable capability; realization of a functional outcome; accessibility; utility; applicability; demand; operational readiness; productive use; successful transformation; scarcity; relevance; beneficiary relationship; resource

availability; knowledge application; technological capability; combination with another value source; satisfaction of a defined performance condition.

VFM® does not prescribe one universal set of emergence conditions.

The emergence conditions must correspond to the specific value identified under the Value Context Standard.

Emergence Threshold

Some forms of value emerge gradually.

Others become existent only after a definable threshold has been crossed.

VES therefore establishes the concept of a Value Emergence Threshold.

The threshold represents:

the minimum governed condition at which potential value may be determined to have become existent value.

A threshold may be:

quantitative; qualitative; functional; operational; relational; temporal; capability-based; outcome-based; use-based; condition-based; composite.

For example, a technology may exist for years while remaining incapable of producing the value for which it was created.

Once a required capability, cost, reliability, performance, accessibility, or operational threshold is reached, value may emerge.

The underlying asset did not necessarily emerge at that moment.

The value did.

Emergence Event

VES distinguishes the Emergence Threshold from the Emergence Event.

The threshold defines the condition that must be satisfied.

The Emergence Event identifies the occurrence through which that condition becomes satisfied or materially observable.

An Emergence Event may include:

first successful operation; first productive use; first realized benefit; first capability activation; first successful application; completion of a transformation; establishment of a necessary relationship; crossing of a performance threshold; achievement of required accessibility; activation of a previously dormant resource; combination of previously separate value sources.

Therefore:

Emergence Condition ≠ Emergence Threshold ≠ Emergence Event.

Emergence Determination

Value existence must not depend solely upon assertion.

VES therefore requires an Emergence Determination where formal governance of value emergence is necessary.

The determination establishes whether the defined emergence conditions and applicable threshold have been sufficiently satisfied.

A determination may conclude:

Not Emerged The identified source exists, but the governed value has not yet emerged.

Emergence Pending Relevant conditions are developing, but the emergence threshold has not yet been established as satisfied.

Conditionally Emerged Value exists only under explicitly defined conditions.

Partially Emerged A divisible or multidimensional value has emerged only in part.

Emerged The governed value has crossed its applicable emergence threshold and exists within the defined Value Context.

Emergence Indeterminate Available information is insufficient to determine whether emergence has occurred.

These are governance states, not universal accounting classifications.

Emergence ≠ Recognition

A fundamental VFM® distinction is:

Value may exist before it is formally recognized.

VES therefore ends when value existence has been sufficiently established.

It does not require:

market recognition; accounting recognition; regulatory recognition; legal recognition; institutional recognition; taxation; ownership attribution; pricing; classification; validation status.

Those external systems may later interact with the value.

But they do not define the VFM® emergence boundary.

The next architectural stage — Value Recognition Standard — governs recognition within the defined value lifecycle context.

Emergence ≠ Price

Value does not need to possess a market price in order to emerge.

A new manufacturing capability may generate operational value before it is separately priced.

A scientific discovery may create knowledge value before commercial valuation exists.

A dataset may create analytical value before being monetized.

An efficiency improvement may generate cost-reduction value without being sold.

A risk-reduction capability may create value through avoided loss.

VES therefore prevents:

Price = Value Existence

from becoming an architectural assumption.

Emergence ≠ Transaction

A transaction may reveal, transfer, exchange, or influence value.

It does not necessarily create the value.

Value may emerge:

before a transaction; without a transaction; through productive activity; through knowledge; through capability; through utility; through reduced cost; through avoided loss; through improved efficiency; through a relationship; through transformation; through technological development.

Payment and transaction governance remain outside the VES boundary.

Emergence ≠ Accounting Recognition

An accounting system may recognize an asset or economic event according to its own rules.

VES governs a different question:

Has the governed value emerged?

Accounting treatment may subsequently use information produced by VFM®, but VFM® does not replace accounting standards.

This distinction enables VFM® to identify forms of value that may exist operationally before they are formally represented in conventional accounting systems.

Emergence ≠ Validation

VES does not determine that a value claim has been universally validated.

Where formal validation of evidence, claims, sources, methods, or determinations is required, VALIDOS® — Validation Governance Architecture may govern that process.

VFM® governs the value lifecycle question:

Has value emerged?

VALIDOS® may govern:

Is the basis used to support that determination sufficiently validated for its intended reliance?

Emergence ≠ Integrity

VES does not govern the general integrity of the system, asset, evidence, or process from which value emerges.

Those questions may fall under INTEGROS® — Integrity Governance Architecture.

The architectures therefore remain distinct:

VFM® → emergence of value

INTEGROS® → integrity

Emergence Evidence

Where emergence must be formally demonstrated, the determination should be supported by sufficient information concerning:

the governed value context; the identified Value Origin; applicable emergence conditions; applicable emergence threshold; observed Emergence Event where relevant; timing; dependencies; limitations; uncertainty; basis of determination.

VES governs the relationship of this information to the value-emergence determination.

General evidence governance, auditability, validation, and integrity remain governed by their respective architectures.

Temporal Emergence

Value emergence has a temporal dimension.

VES therefore permits the emergence point to be associated with:

a specific event; a defined date; a period; a progressive interval; a condition becoming continuously satisfied; an uncertain but bounded emergence window.

This matters because different systems may subsequently rely upon the emergence point.

For example:

management systems; investment analysis; value reporting; economic analysis; taxation architectures; accounting systems;

asset governance; lifecycle analysis.

VFM® establishes the value lifecycle event.

External architectures determine their own consequences.

Progressive Emergence

Not all value appears instantaneously.

Some value may emerge progressively.

Examples include:

a developing technology; a growing network; accumulating knowledge; infrastructure becoming operational in stages; a dataset increasing in usefulness; organizational capability maturing over time.

VES therefore allows value emergence to be represented as a governed progression where binary treatment would distort reality.

Multiple Value Emergence

One Value Origin may produce multiple forms of value.

For example, a technological capability may generate:

operational value; economic value; knowledge value; strategic value; risk-reduction value; productivity value.

These forms of value must not automatically be collapsed into one undifferentiated value.

Each must remain connected to the Value Context established under the Value Context Standard.

Therefore:

One Origin ≠ One Value

and:

One Emergence Event may produce multiple distinct Value Emergence Determinations.

Failed Emergence

An identified Value Origin may never produce the anticipated value.

VES explicitly governs this possibility.

Failed emergence may occur where:

required conditions never materialize; a threshold is never reached; capability remains unusable; expected utility does not materialize;

the relevant beneficiary never receives value; technological development fails; required relationships do not form; a resource cannot be activated; the anticipated outcome does not occur.

This distinction prevents expected value from being retrospectively treated as value that necessarily existed.

Emergence Reversal Before Recognition

In some contexts, value may emerge briefly and disappear before it becomes formally recognized.

VFM® must preserve this lifecycle reality.

Such a case may produce:

Value Emergence → Existing Value → Value Change / Degradation / Nullification

even where formal Value Recognition never occurred.

Recognition therefore does not create the underlying existence of value.

It governs recognition of that existence.

Governance Outputs

VES may produce:

Potential Value Record Value Emergence Conditions Record Value Emergence Threshold Value Emergence Event
Record Value Emergence Determination Value Emergence State Conditional Emergence Statement Partial Emergence
Record Failed Emergence Record Value Emergence Timeline Value Emergence Dependency Record Value
Emergence Limitation Record

Value Emergence Record

These outputs provide the governed input basis for the Value Recognition Standard.

Enterprise Application

Value Emergence Standard can be applied wherever organizations need to distinguish between:

something capable of creating value

and:

value that has actually come into existence.

This distinction can support:

banking; investment analysis;

enterprise valuation; innovation portfolios; intellectual property; technology development; infrastructure; manufacturing;
energy; digital assets; AI systems; data assets; public investment; government programs; research; cost reduction;
productivity improvement; supply chains; resource development; strategic capability.

For example, a bank may identify a portfolio of technological assets with substantial theoretical value potential.

VES provides a method for determining which of those assets have actually crossed the conditions necessary for value emergence rather than treating projected potential as existing value.

Similarly, an industrial organization may deploy an AI system intended to reduce production costs.

The software's existence does not itself establish the anticipated value.

VES can distinguish:

AI capability exists

from:

measurable cost-reduction value has emerged.

That distinction creates a stronger basis for later value recognition, state determination, development, degradation, restoration, accounting interfaces, investment analysis, and future value-based economic governance.

Cross-Architecture Boundaries

VFM® / VES governs whether potential value has become existent value.

GOA™ — Governance Architecture governs governance authority and governance structure.

ORA™ — Operational Reality Architecture governs actual Operational Reality.

OBIDENITY® — Origin-Bound Identity Governance Architecture governs origin-bound identity, ownership, authority, provenance, transfer, and continuity.

CLA™ — Classification Architecture governs classification.

INTEGROS® — Integrity Governance Architecture governs integrity.

ADIT® — Continuous Audit & Evidence Governance Architecture governs audit and evidence.

VALIDOS® — Validation Governance Architecture governs validation.

SIMULOS® — Simulation Governance Architecture governs simulation and simulation-derived meaning.

An external architecture may establish information relevant to a Value Emergence Determination.

It does not thereby acquire governance ownership of Value Emergence itself.

Foundational Principles

Potential value is not existing value.

Value origin is not value emergence.

Value emergence is not value recognition.

Value emergence is not market pricing.

Value emergence is not accounting recognition.

Value emergence is not a transaction.

Potential value is not a zero-value state.

An asset, capability, resource, relationship, or activity may exist before the relevant value emerges.

One Value Origin may produce multiple distinct forms of value.

Expected value must not be treated as existing value merely because its source exists.

Value becomes existent within VFM® only when the conditions separating potential value from existent value have been sufficiently established.

Canonical Closing Statement

Value Emergence Standard establishes the third governed space of VFM® by defining the methodological transition through which potential value arising from an identified Value Origin becomes existent value within a defined Value Context. Through governance of emergence conditions, emergence thresholds, emergence events, emergence determinations, temporal emergence, progressive emergence, conditional and partial emergence, failed emergence, dependencies, limitations, and emergence records, the Standard prevents potential, expectation, capability, asset existence, market anticipation, accounting treatment, or projected benefit from being automatically treated as value that already exists. By separating Value Origin from Value Emergence and Value Emergence from Value Recognition, the Standard creates a distinct and governable lifecycle boundary between the source capable of producing value and the existence of value itself. This boundary provides VFM® with the methodological foundation required to determine when value truly enters its lifecycle before recognition, state governance, change, development, degradation, nullification, restoration, and eventual extinction can legitimately follow.

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Architecture: VFM® — Value Flow Mechanisms Architecture · Category: Governance & Enforcement · Subcategory: Value Lifecycle Governance Canonical Definition: Value Emergence Standard governs the transition through which potential value arising from an identified Value Origin becomes existent value within a defined Value Context by establishing the conditions, thresholds, events, and determinations necessary to distinguish value potential from actual value existence. Governed Space: Value Emergence Potential value must not be treated as existing value until the conditions separating potential from actual value existence have been sufficiently established. → View Standard

About standard

Module Architecture

→ [Value Emergence Conditions Module \(VECM\)](#)

→ [Value Emergence Threshold Module \(VETM\)](#)

→ [Value Emergence Event Module \(VEEM\)](#)

→ [Value Emergence Determination Module \(VEDM\)](#)

→ [Value Emergence Record Module \(VERM\)](#)

Related Documents

→ [About Value Emergence Standard \(VES\)](#)

→ [VFM® — Value Flow Mechanisms Architecture](#)

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